

Net Current Assets

Net current assets or net working investments is arrived at by deducting current liabilities from current working assets (trade assets). This is clearly not a ratio. Its usefulness lies in quickly ascertaining whether a company has adequate current assets to meet its current liabilities. Net current assets is really the working capital of a company. Consequently, several derivatives can be calculated from this figure, such as its relationship to sales, income and even to capital.

Net current assets can also be used as a base to determine the quantum of working capital required to support a certain level of sales. A ratio of 20% could suggest that if sales were to increase by 20%, net current assets would also need to increase proportionately. In this context, it is better to have a low ratio as the increase in working capital needed will be less. The company can therefore grow quite rapidly.

In the example of Samudra Fisheries, net current assets were Rs. 450 lakh and sales Rs. 2,000 lakh. Its net current assets to sales would be:

$$\frac{0.5 \times (400+450)}{2,000} \times 100 = 21.25 \%$$

Illustration

In its latest financial year, Samudra Fisheries had a sales turnover of Rs. 2,000 lakh. Its net current assets were:

	Previous Year (Rs. lakh)	Latest Year (Rs. lakh)
<i>Current Assets</i>		
Debtors	280	310
Stocks	320	390
Total current assets	600	700
<i>Current Liabilities</i>		
Creditors	190	220
Accrued expenses	3	5
Tax payable	7	25
Total current liabilities	200	250